MERIDIAN GENERAL INSURANCE COMPANY LIMITED

DRIVESHIELD PRIVATE CAR PACKAGE POLICY

Policy Wording | UIN: MGICMOTP24019V012425 | Version 3.0

Product Type: Motor Private Car

SECTION 1. PREAMBLE AND DEFINITIONS

1.1 Operative Clause

Meridian General Insurance Company Limited agrees, subject to the terms of this Policy, to indemnify the Insured against loss of or damage to the Insured Vehicle and to cover the Insured's legal liability to third parties arising out of the use of the Insured Vehicle during the Policy Period.

1.2 Insured Declared Value

Insured Declared Value means the sum arrived at by applying the schedule of depreciation set out in Clause 5.1 to the manufacturer's listed selling price of the vehicle and its accessories. The Insured Declared Value shall be deemed to be the Sum Insured for the purposes of Section I of this Policy and shall be the maximum amount payable in the event of total loss or constructive total loss.

1.3 Constructive Total Loss

The Insured Vehicle shall be treated as a constructive total loss where the aggregate cost of retrieval and repair, calculated at the time of loss, exceeds seventy-five percent (75%) of the Insured Declared Value.

SECTION 2. SECTION I - LOSS OR DAMAGE TO THE INSURED VEHICLE

2.1 Perils Covered

The Company shall indemnify the Insured against loss or damage to the Insured Vehicle caused by fire, explosion, self-ignition or lightning; burglary, housebreaking or theft; riot and strike; earthquake, flood, inundation, storm, cyclone and hailstorm; accidental external means; malicious act; terrorist activity; and whilst in transit by road, rail, inland waterway, lift, elevator or air.

2.2 Towing Charges

The Company shall pay the reasonable cost of removal of the Insured Vehicle to the nearest repairer following an accident, and the cost of reasonable repairs necessary to enable the vehicle to reach that repairer, up to Rs. 1,500 in respect of any one accident.

2.3 Consumables Exclusion under Own Damage

Unless the Consumables Cover add-on has been opted for and is shown in the Policy Schedule, the cost of engine oil, gearbox oil, coolant, brake fluid, nut and bolt, screw, washer, grease, lubricant, clip, air-conditioner gas, wheel balancing weight and distilled water shall not be payable in a partial loss claim.

SECTION 3. SECTION II - LIABILITY TO THIRD PARTIES

3.1 Third Party Death and Bodily Injury

The Company shall indemnify the Insured against all sums which the Insured becomes legally liable to pay in respect of the death of or bodily injury to any third party caused by or arising out of the use of the Insured Vehicle. The liability of the Company in respect of death or bodily injury is unlimited in amount.

3.2 Third Party Property Damage

The Company's liability in respect of damage to third party property shall not exceed Rs. 7,50,000 in respect of any one accident, unless a higher limit has been opted for and the corresponding premium has been paid.

3.3 Compulsory Personal Accident Cover for Owner-Driver

A compulsory personal accident cover of Rs. 15,00,000 is provided to the owner-driver whilst driving the Insured Vehicle, including whilst mounting into, dismounting from or travelling in the Insured Vehicle. The cover is subject to the owner-driver holding a valid and effective driving licence at the time of the accident.

SECTION 4. ADD-ON COVERS

4.1 Zero Depreciation Cover

Where this add-on has been opted for, the Company shall not apply depreciation to the value of parts replaced in a partial loss claim, except in respect of tyres, tubes and batteries, on which fifty percent (50%) depreciation shall continue to apply. This add-on may be availed for a maximum of two (2) claims in a Policy Year.

4.2 Engine Protect Cover

Where this add-on has been opted for, the Company shall indemnify the cost of repair or replacement of the engine, gearbox and differential assembly consequent upon ingress of water into the engine or leakage of lubricating oil, which would otherwise be excluded as consequential loss. This cover does not apply where the Insured attempted to start the vehicle after it was submerged in water.

4.3 Return to Invoice Cover

In the event of total loss, constructive total loss or theft of the Insured Vehicle, the Company shall pay the difference between the Insured Declared Value and the current invoice value of a new vehicle of the same make, model and variant, together with the first-time registration charges and road tax. This add-on is available only for vehicles up to five (5) years of age.

4.4 Roadside Assistance

Where this add-on has been opted for, the Company shall arrange on-site minor repairs, flat tyre assistance, battery jump start, emergency fuel delivery up to five (5) litres, key retrieval and towing, available at any location within one hundred (100) kilometres of the Insured's registered address. Availing this service shall not affect the No Claim Bonus.

SECTION 5. DEPRECIATION AND DEDUCTIBLES

5.1 Depreciation Schedule for Parts

In a partial loss claim, depreciation on the value of parts replaced shall be applied as follows: for all rubber, nylon and plastic parts, tyres, tubes, batteries and air bags, fifty percent (50%); for all parts made of fibre glass, thirty percent (30%); for all parts made of glass, nil; and for all other parts, depreciation shall be applied according to the age of the vehicle as set out in Clause 5.2.

5.2 Age-Based Depreciation on Metal Parts

For metal parts, depreciation shall be nil where the vehicle is not exceeding six (6) months old; five percent (5%) where exceeding six months but not exceeding one year; ten percent (10%) exceeding one year but not exceeding two years; fifteen percent (15%) exceeding two years but not exceeding three years; twenty-five percent (25%) exceeding three years but not exceeding four years; thirty-five percent (35%) exceeding four years but not exceeding five years; and fifty percent (50%) exceeding five years.

5.3 Compulsory Deductible

A compulsory deductible of Rs. 1,000 shall apply to each and every own damage claim in respect of private cars with an engine capacity not exceeding 1500 cc, and Rs. 2,000 where the engine capacity exceeds 1500 cc. Any voluntary deductible opted for shall apply in addition to the compulsory deductible.

SECTION 6. EXCLUSIONS

6.1 General Exclusions

The Company shall not be liable for consequential loss, depreciation, wear and tear, mechanical or electrical breakdown, failures or breakages, damage to tyres and tubes unless the Insured Vehicle is damaged at the same time, or loss or damage arising whilst the vehicle is used outside the limitations as to use stated in the Policy Schedule.

6.2 Driving Without a Valid Licence

No claim shall be payable where, at the time of the accident, the vehicle was being driven by a person not holding a valid and effective driving licence for the class of vehicle concerned, or by a person who was disqualified from holding such a licence.

6.3 Driving Under the Influence

No claim shall be payable where the person driving the Insured Vehicle at the time of the accident was under the influence of intoxicating liquor or drugs.

SECTION 7. CLAIMS AND CONDITIONS

7.1 Notice of Accident

Notice of any accident, loss or damage shall be given to the Company in writing immediately, and in any event within forty-eight (48) hours of the occurrence. In the case of theft or criminal act, the Insured shall also lodge a First Information Report with the police without delay and provide a copy to the Company.

7.2 No Claim Bonus

Where no claim has been made or pending during the preceding Policy Period, a No Claim Bonus shall be allowed on the own damage premium at renewal as follows: twenty percent (20%) after one claim-free year, twenty-five percent (25%) after two consecutive claim-free years, thirty-five percent (35%) after three, forty-five percent (45%) after four, and fifty percent (50%) after five consecutive claim-free years.

7.3 Transfer of Interest

On transfer of ownership of the Insured Vehicle, the benefit of this Policy shall not pass to the transferee unless the Company's consent in writing is obtained within fourteen (14) days of the date of transfer. The No Claim Bonus earned by the previous owner shall not transfer and remains to the credit of that owner.